



Quarterly Statement

Investor Report Q3 2023

FUND OVERVIEW

Alkhabeer Growth and Income Traded Fund (“the Fund”) is a closed-ended Shari’a-compliant investment traded public equity fund established in accordance with the applicable laws and regulations of the Kingdom of Saudi Arabia and regulated by the Capital Market Authority (CMA). The Fund’s investment objective is to increase the Fund’s Net Asset Value by boosting the performance of the Fund’s investments in the long term and generating current income to investors from the dividend distributions of the companies in which the Fund invests, in addition to part of the capital appreciation resulting from the growth of market value of the securities invested in. This is achieved by investing in a diversified portfolio of global equities, public and private equities, initial public offerings of companies, private placements, cash, and cash equivalents.

KEY FUND FACTS

TADAWUL SYMBOL 4701	BLOOMBERG SYMBOL AKGRINF AB EQUITY
FUND TYPE Closed-ended Traded Public Equity Fund	FUND INCEPTION DATE 27 April 2022
FUND TERM 99 years, starting as from the Listing Date, renewable	NET ASSET VALUE PER UNIT SAR 10.2411
FUND ASSETS SIZE* SAR 776,723,989	FUND SIZE AT INCEPTION** SAR 1 BILLION
BORROWING AMOUNT* SAR 0.00	RATIO OF LOANS TO FUND’S TOTAL ASSET VALUE 0.00%
RATIO OF LOANS TO FUND’S NET ASSET VALUE AS AT THE END OF THE REPORTING QUARTER 0.00%	VALUE OF FUND MANAGER’S INVESTMENT TO FUND’S NET ASSET VALUE AS AT THE END OF THE REPORTING QUARTER N/A
PERCENTAGE OF FUND MANAGER’S INVESTMENT TO FUND’S NET ASSET VALUE AS AT THE END OF THE REPORTING QUARTER 0.00%	RISK LEVEL High

FUND CURRENCY

Saudi Arabian Riyal (SAR)

INVESTMENT ADVISOR AND FUND SUB-MANAGER

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RATIO OF UNDERLYING FUNDS' MANAGEMENT FEES

0.03%

NUMBER OF DAYS WEIGHTED AVERAGE

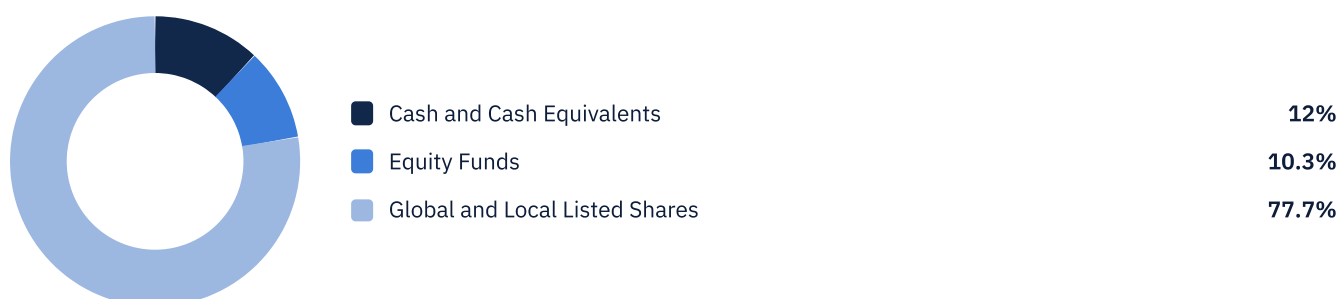
92 Days

* As of 30 September 2023 (Unaudited).

** The Fund's Capital includes a sum of SAR 243,711,110 representing the value of the Units bought back by the Fund for cancellation.

FUND PORTFOLIO INVESTMENT CONCENTRATION RATIOS

FUND PORTFOLIO INVESTMENT CONCENTRATION RATIOS



FINANCIAL INDICATORS*

VALUATION FREQUENCY

Daily

FUND'S TOTAL ASSET VALUE*

SAR 776,723,989

FUND NET ASSET VALUE*

SAR 774,522,941

AMOUNT OF TRANSACTION EXPENSES FOR THE REPORTING QUARTER

SAR 453,800

RATIO OF TRANSACTION EXPENSES FOR THE REPORTING QUARTER TO FUND'S AVERAGE NET ASSET VALUE****

0.047%

RATIO OF TOTAL EXPENSES AND FEES TO FUND'S TOTAL ASSET VALUE**

0.31%

RATIO OF FUND'S COSTS TO FUND'S TOTAL ASSET VALUE***

0.31%

RATIO OF FUND'S COSTS TO FUND'S AVERAGE NET ASSET VALUE

0.25%

TOTAL EXPENSES AND FEES FOR THE REPORTING QUARTER

SAR 2,407,933

RATIO OF TOTAL EXPENSES AND FEES FOR THE REPORTING QUARTER TO FUND'S AVERAGE NET ASSET VALUE**

0.25%

* As of 30 September 2023 (Unaudited).

** Fund's expenses and fees are total Fund expenses during the reporting quarter, excluding financing costs.

*** Fund's costs are all Fund's fees and expenses, including financing costs.

**** Fund's average net asset value during the reporting quarter = SAR 968,915,573.

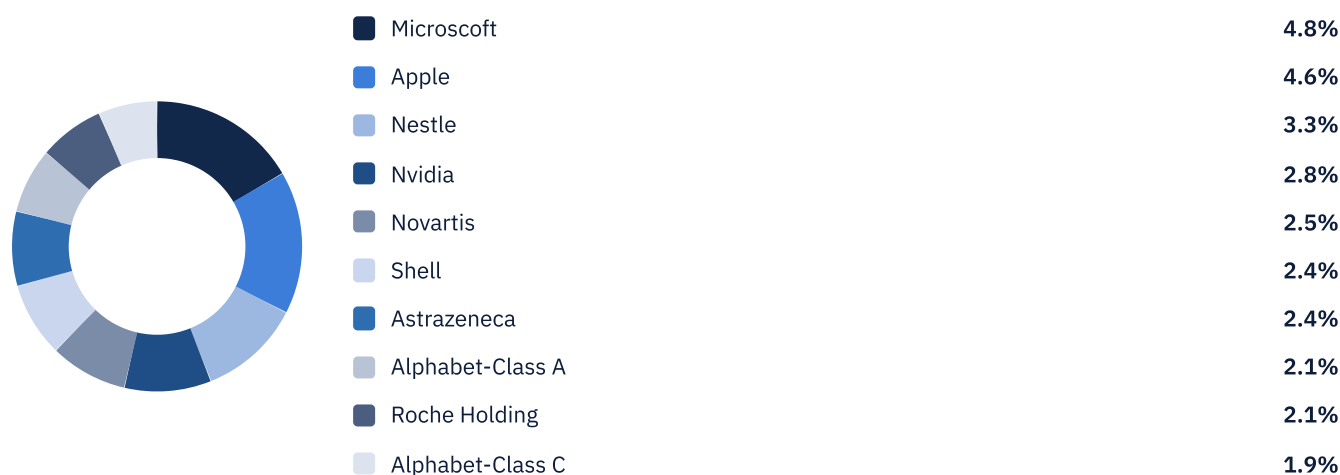
DISTRIBUTION OF INVESTMENTS BY GEOGRAPHY

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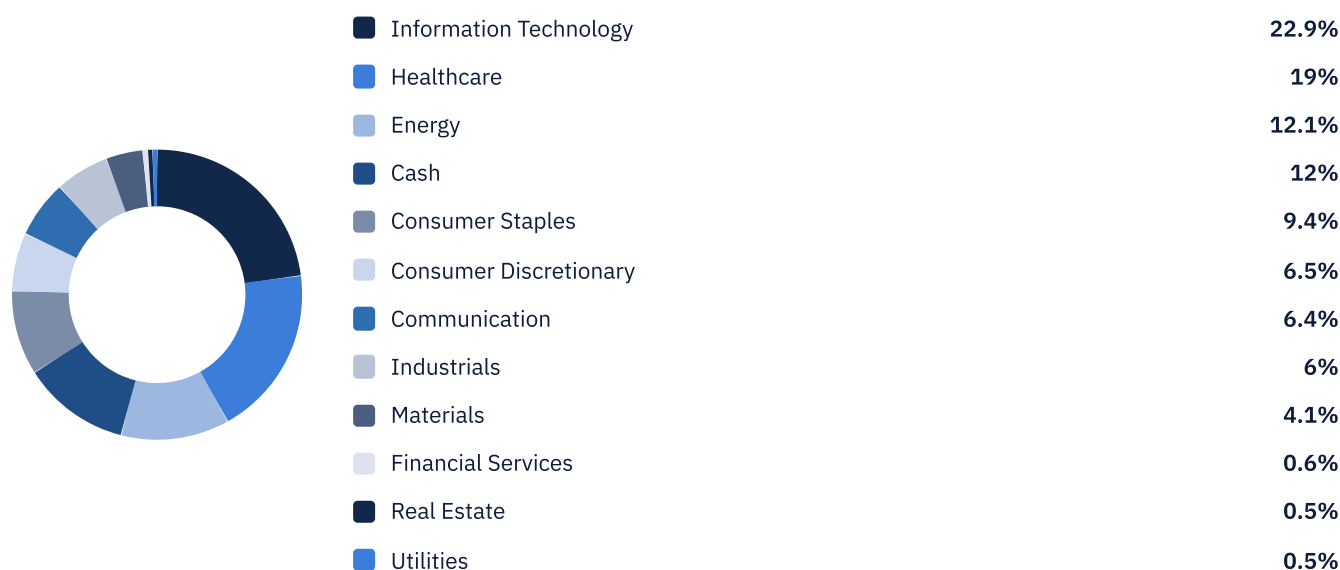
TOP 10 LISTED GLOBAL AND LOCAL EQUITIES COMPANIES

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TOP SECTORS OF FUND'S UNDERLYING INVESTEE COMPANIES

TOP SECTORS OF FUND'S UNDERLYING INVESTEE COMPANIES



FUND ASSETS INFORMATION

LISTED SHARES

SAR 682,042,888

TOTAL CASH AND CASH EQUIVALENT

SAR 94,681,101

FUND MARKET VALUE INFORMATION

AS AT THE LISTING DATE

SAR 1,000,000,000

AS AT 30 JUNE 2022

SAR 691,000,000

AS AT 29 SEPTEMBER 2022

SAR 617,000,000

AS AT 29 DECEMBER 2022

SAR 569,000,000

AS AT 30 MARCH 2023

SAR 597,000,000

AS AT 22 JUNE 2023

SAR 811,000,000

AS AT 28 SEPTEMBER 2023*

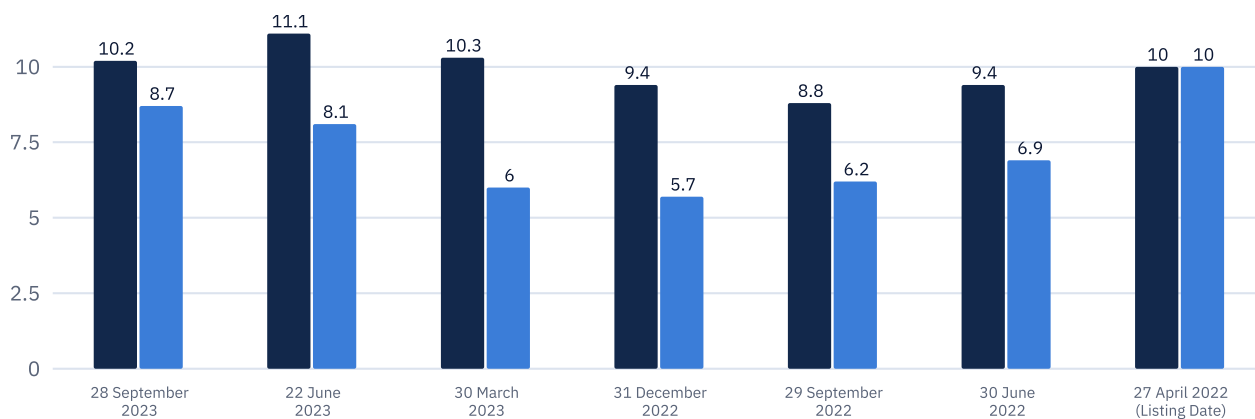
SAR 654,189,890

* Excluding Units bought back by the Fund for cancellation (24,371,111 Units) as at 30 September 2023.

NET ASSET VALUE AND UNIT PRICE PERFORMANCE*

NET ASSET VALUE AND UNIT PRICE PERFORMANCE*

■ Net Unit Price (SAR) ■ Market Unit Price (SAR)



* Based on the Unit Price.

FUND UNITS INFORMATION

UNIT PRICE AS AT THE END OF Q3 (28 SEPTEMBER 2023)

SAR 8.65

CHANGE IN UNIT PRICE DURING THE CURRENT QUARTER COMPARED TO THE PREVIOUS QUARTER (30 JUNE 2023 TO 30 SEPTEMBER 2023)

6.66%

UNIT PRICE PERFORMANCE SINCE THE LISTING DATE (FROM THE LISTING DATE TO END Q3 2023)

-13.50%

UNIT PRICE TOTAL RETURN SINCE THE LISTING DATE (FROM THE LISTING DATE TO END Q3 2023)

-4.55%

52-WEEK HIGH

SAR 9.97

52-WEEK LOW

SAR 5.66

NUMBER OF OUTSTANDING UNITS (AS AT 28 SEPTEMBER 2023) *

75,628,889 Units

DUAL UNIT PRICE OF MONEY MARKET FUNDS AND FIXED INCOME DEBT FUNDS

N/A

* After deducting Units bought back by the Fund for cancellation.

DIVIDEND DISTRIBUTION DURING THE REPORTING QUARTER

DIVIDEND DISTRIBUTION POLICY

The Fund Manager aims to distribute 100% of the net returns on the Fund's investments, which only include the distributions of Fund's underlying listed shares twice a year. The Fund will distribute returns within Forty (40) business days after the date of issue of the semi-annual and annual financial statements. The Fund Manager may, at its discretion, distribute up to 50% of the realized and unrealized capital gains twice a year. The Fund will distribute realized and unrealized capital gains (if any) within ten (10) business days after the date of issue of the semi-annual and annual financial statements. Details of the cash distributions will be announced on Saudi Tadawul's website.

TOTAL DIVIDEND DISTRIBUTIONS FOR THE REPORTING QUARTER

SAR 0.00

TOTAL DIVIDEND DISTRIBUTIONS FOR THE LAST SEMI-ANNUAL PERIOD

SAR 79,225,591

DIVIDEND DISTRIBUTIONS FOR THE LAST SEMI-ANNUAL PERIOD PER UNIT

SAR 0.93

RATIO OF DISTRIBUTED DIVIDENDS IN THE REPORTING QUARTER TO INITIAL UNIT PRICE

9.30%

RATIO OF DISTRIBUTED DIVIDENDS TO MARKET UNIT PRICE

10.75%

GAINS RECEIVED ON THE FUND'S UNDERLYING LISTED SHARES

SAR 2,862,685

REALIZED GAIN ON THE FUND'S INVESTMENTS

SAR 44,672,773

UNREALIZED LOSS ON THE FUND'S INVESTMENTS

SAR (67,277,534)

LOSS FROM FOREIGN CURRENCY RATE DIFFERENCES

SAR (3,995,644)

TOTAL INCOME FOR THE REPORTING QUARTER

SAR (23,737,720)

TOTAL INCOME FOR THE REPORTING QUARTER TO UNIT PRICE AS AT 30 SEPTEMBER 2023

-3.63%

* Number of Units as at the dividend distribution date was 85,188,808 Units.

↗ FUND PERFORMANCE CRITERIA AND INDICATORS

BENCHMARK

Alkhabeer Global Equity Index

INITIAL UNIT PRICE (AT THE INITIAL OFFERING)

SAR 10

NET FUND TOTAL RETURN SINCE THE DATE OF INCEPTION

11.71%

P/E RATIO (LAST TWELVE MONTHS)

19.00

📄 DESCRIPTION OF THE FUND'S BENCHMARK

Alkhabeer Global Equity Index is an index especially created for the Fund in collaboration with the Index Service Provider, who will calculate the valuations of the companies that are included in the Index and will manage the Index on behalf of the Fund. The Index includes companies which are diversified by sector and size in the largest global capital markets, as well as the largest leading companies in the Kingdom of Saudi Arabia. The companies will be filtered based on a market value exceeding US \$ 100 million, and a trade value exceeding US \$ 1 million per day. The Index includes 160 global companies representing the largest global capital markets, in addition to the largest 10 listed companies on the Saudi Stock Exchange, compliant with the guidelines of the Shari'a Supervisory Committee. The global companies included in the index are divided by market cap into three categories: the largest 70 in terms of market value of free float shares among large market cap companies, the largest 50 companies in terms of market value of free float shares among medium market cap companies, and the largest 40 companies in terms of market value of free float shares among small market cap companies.

Large market cap companies are defined as companies representing the largest market capitalization. It is the segment which represents up to 70% of the aggregate capitalization of the market combined, while the medium cap segment represents more than 70% up to 85% of the aggregate market capitalization, and the small cap represents more than 85% up to 100% of the aggregate market capitalization.

↗ PERFORMANCE ASSESSMENT CRITERIA AND INDICATORS

	ALKHABEER GROWTH AND INCOME TRADED FUND	ALKHABEER GLOBAL EQUITY INDEX
NET ASSET VALUE PER UNIT AS AT THE BEGINNING OF THE PERIOD	SAR 11.0865	103.35161
NET ASSET VALUE PER UNIT AS AT THE END OF THE PERIOD	SAR 10.2411*	99.3959
UNIT PERFORMANCE	-7.63%*	-3.83%

*Note that part of the change in the net unit value is due to the fund manager making cash distributions during the period

📄 OWNERSHIP OF FUND INVESTMENTS

OWNERSHIP	PERCENTAGE (%)
FREEHOLD	100%
LEASEHOLD	0%

RETURNS

ITEM	REPORTING QUARTER**	YEAR TO DATE*** (YTD)	ONE YEAR****	3 YEARS	5 YEARS
TOTAL RETURN TO NET ASSET VALUE PER UNIT (FUND PERFORMANCE)*	0.82%	18.39%	27.45%	N/A	N/A
BENCHMARK PERFORMANCE	-3.83%	11.98%	21.70%	N/A	N/A
PERFORMANCE SPREAD	4.65%	6.41%	5.75%	N/A	N/A

* Total return = unit price performance plus distributed dividends (if any).

** For the period from 30 June 2023 to 30 September 2023, including cash dividends of SAR 0.93.

*** For the period from 31 December 2022 to 30 September 2023, including cash dividends of SAR 0.93.

**** For the period from 30 September 2022 to 30 September 2023, including cash dividends of SAR 0.93.

PERFORMANCE AND RISKS

PERFORMANCE AND RISKS CRITERIA	REPORTING QUARTER	YEAR TO DATE (YTD)	ONE YEAR	3 YEARS	5 YEARS
STANDARD DEVIATION ¹	4.58	9.00	13.36	N/A	N/A
SHARPE RATIO ²	-1.03	1.49	1.84	N/A	N/A
TRACKING ERROR ³	2.46	6.85	9.86	N/A	N/A
BETA ⁴	0.77	0.67	0.69	N/A	N/A
ALPHA ⁵	4.63	5.41	4.36	N/A	N/A
INFORMATION RATIO ⁶	1.88	0.79	0.44	N/A	N/A

1. Standard Deviation is a measure of risk. It is calculated as any volatility in returns over a period of time. The lower the volatility, the more homogeneous the set of returns.

2. Sharpe Ratio is a risk-adjusted performance measure. It is calculated as the difference of the Fund Manager excess return over the risk-free rate, divided by the Standard Deviation. The greater a portfolio's Sharpe Ratio, the better its risk-adjusted performance.

3. Tracking Error is a measure of risks. It is calculated as the Standard Deviation between the Fund Manager's return and the Benchmark's return. The lower the Tracking Error, the lower the Fund Manager deviates from the Benchmark.

4. Beta is a measure of the average historical sensitivity of the Fund's returns compared to market returns. It is calculated by using the covariance of the Fund and the market on the variance of the market.

5. Alpha measures any excess return achieved by the Fund compared to the performance of the index.

6. Information Ratio is a risk-adjusted performance measure. It is calculated as the active return of the Fund Manager, divided by its tracking error. The higher the Information ratio, the higher the Fund Manager ability to generate excess returns per Unit of excess risk. The performance and risk parameters were calculated based on the Unit's net value.

FUND HIGHLIGHTS AND ANY FUNDAMENTAL OR NON-FUNDAMENTAL CHANGES AFFECTING THE PERFORMANCE OF THE FUND

In the general assembly meeting held on 19 July 2023, the unitholders approved the Buyback for Cancellation of Units of up to 50% of the total existing units.

As of 28 Sep 2023, the Fund Manager has successfully bought back 24,371,111 units of the Fund amounting to 24.37% of the total number of units.

OVERVIEW OF GLOBAL MARKETS

Global equity markets had a mixed performance in Q3 2023, following strong gains in the first half of the year. This was mostly on account of concerns about the slowdown in the global economy, interest rates, increasing oil prices, persisting inflation, fragile recovery in supply chain and a stronger dollar. The US FED held the interest rates steady in its Sep 2023 meeting and maintained a hawkish stance acknowledging that there was still work to be done to lower inflation to their target levels.

Going forward, steady growth of profits, interest rates, inflation and consumer spending will be the key influencers of the equity market. According to the IMF, global GDP is expected to grow by 3% in 2023 and 2024. Although this growth is favorable, it remains weak in historical terms and is restricted by the tightening of macroeconomic policy necessary to control inflation, with the global inflation rate expected to reach 6.8% in 2023 and 5.2% in 2024.

FUND NET UNIT VALUE PERFORMANCE COMPARED TO THE BENCHMARK SINCE THE INCEPTION OF THE FUND

Alkhabeer Growth and Income Traded Fund - Fund Performance vs Benchmark



FOR FURTHER INFORMATION

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